

October/November 2021 12

1-A:

An economic problem generally means the problem of making choices that occurs because of the scarcity of resources. It arises because people have unlimited desires but the means to satisfy that desire is limited. Therefore, satisfying all human needs is difficult with limited means.

Why not other options?

Others options are not related to economic problem

2-A:

Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process.

The opportunity cost of spending is savings and interest earned should be earned.

3-D:

The word US government is used here to indicate that there is involvement of a public sector. Also, helium as a gas used in other ways such as party balloons that is factor of production

4-C:

Public goods are characterized by two key features: non-excludability and non-rivalry.

Non-excludability means it's impossible or very costly to prevent individuals from consuming the good, even if they don't pay for it. Non-rivalry implies that one person's consumption of the good does not diminish the amount available for others.

Why not other options?

Excludable and rival are the characteristics of the private goods

5-A:

An economic system based on supply and demand with little or no government control known as free market economy.

In market economy, price mechanism always clears up the market

Why not other options?

B- In a market economy, producers aim to maximize profits by efficiently producing goods and services that consumers demand, while consumers aim to maximize their satisfaction by purchasing goods and services that best meet their needs and preferences.

C- the government intervention is needed due to market failure

D- the highest possible price charge by producers

6-A:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

Why not other options?

Others options are the issues of macroeconomics

7-D:

New potash will increase the supply of potash that is shown in the diagram no D

8-D:

	price \$	quantity demanded	
16.6%.	(6	3)	33.3%.
	(5	4)	2
20%.	(4	5)	25%.
	(3	7)	1.25
25%.	(2	9)	40%.
			1.6
33.3%.			28.5%.
			0.85 (<1)

price is the demand price-inelastic? $\% \Delta$ formula

9-C:

productivity refers to how much output can be produced with a given set of inputs.

Productivity increases when more output is produced with the same amount of inputs or when the same amount of output is produced with less inputs.

Good industrial action will increase productivity as there will be less strikes or production halts so leads to more output being produced

Why not other options?

A- this will reduce the productivity

B- more labours means more chances of errors and low productivity

D- this will result in less output

10-D: Incorrect answer in CIEs

Minimum wage above equilibrium is effective as cleaners wage will rise

While minimum wage imposed below the equilibrium is ineffective, it will rise back to the equilibrium so change in nurse wages.

11-A:

Specialization in business involves focusing on one product or a limited scope of products so as to become more efficient. Specialization can increase productivity and provide a comparative advantage for a firm or economy.

A greater mechanism will increase productivity, thus increasing the efficiency and reducing the per unit cost. As a consequence, the profits will increase and this will benefit the producers. However, more machines will also reduce the need of labours and disadvantage to the workers

Why not other options?

Other options will give advantage to the workers and may be disadvantageous to the firm. For instance, higher skills will lead workers to demand for higher wages but this will cost the company.

12-D:

The vertical distance between 2 supply curve is per unit subsidy that is HK

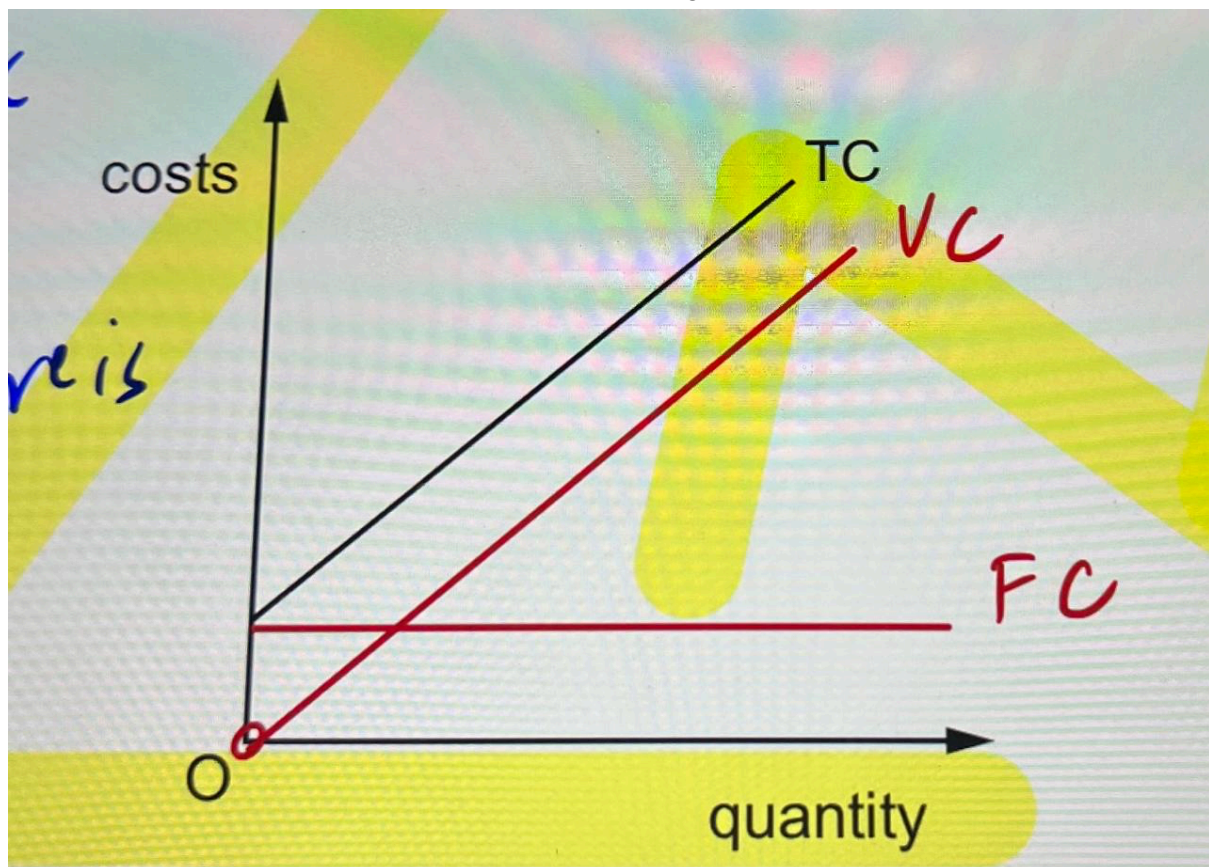
The price received by the producers is G

While the quantity sold after the subsidy is M.

The total revenue become now, OGHM

13-D:

The total cost is TFC and TVC. If there is TC in a diagram, then there will be TFC and TVC.



TVC/Q starts from the origin, linear line, constant. Read below further:

If the variable cost starts from the origin, it means that when output is zero, the variable cost is also zero which makes sense because variable costs depend on production. Now, if we assume that average variable cost (AVC) is constant, it implies that the variable cost increases at a constant rate with each additional unit produced. In this case, the variable cost curve would be a straight line from the origin with a constant slope

Why not other options?

A- see diagram above

B- see diagram above

C- AFC keeps falling as output increases

14-A:

From the given table, we can see that after the 4th unit, the ATC starts rising from 5 to 7. This indicates that there are diseconomies of scale that lead ATC to rise. Such as managerial and communication issues.

Why not other options?

All the other options will result in EOS and ATC would fall.

15-C:

Two manufacturers merge, which will reduce the supply of producers in a market. The customers will be disadvantaged through the restricted choice and higher prices.

Why not other options?

Other options will be advantages to the customers

16-B:

Deflation is a decrease in the general price level of goods and services.

Why not other options?

A- Deflation leads to recession

C- if there is deflation, then AD was falling

D- during inflation, the AD was falling so unemployment was higher

17-B:

Demand-pull inflation occurs when aggregate demand in an economy is more than aggregate supply. It involves inflation rising as real gross domestic product rises and unemployment falls.

Higher government spending will increase the injections into an economy and thus AD start to rise

Why not other options?

A- this will increase the AS and thus prices will fall

C- higher taxes will reduce the consumption and thus AD will fall

D- lower export revenue and higher import expenditure will result in trade deficit and thus AD start to fall

18-B:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

Higher economic growth will result in higher income and thus higher income will result in higher tax revenues for the government.

Why not other options?

A- there would be decrease in absolute poverty

C- there will increase in export revenue

D- fall in unemployment and higher standard of living

19-C:

An indirect tax is a tax passed off by the government on goods and services. It is collected by the manufacturers or sellers of goods and services from the consumer when they purchase an item or service and then paid to the government.

Air passenger duty \$10m

Import duty \$75m

Sales tax VAT \$300m

Total= \$385m

Why not other options?

Other taxes mentioned in the table are the direct taxes

20-B:

Supply-side economics holds that increasing the supply of goods translates to economic growth for a country.

Retraining of workers will resolve the problem of structural unemployment and hence improve occupational mobility.

Structural unemployment is a type of joblessness resulting from a fundamental mismatch between the skills of available workers and the skills required by employers

Why not other options?

A- modernisation will reduce need of the labours

C- general statement

D- this change will also reduce the need of labours as private sector will often seek to increase machines

21-A:

The inflation rate is calculated using the Consumer Price Index (CPI), which measures the average price changes of a basket of consumer goods and services over time.

Why not other options?

B- Real output

C- unemployment

D- balance of trade

22- QS removed from the question paper

23-A:

Decrease in tax will increase disposable income. This will result in an increase in consumption and thus an increase in AD. Additionally, fall in rate of interest will reduce the savings and increase the investment and thus an increase in AD

Why not other options?

B- decrease in taxes will increase the AD but rise in interest rates will reduce the AD. How? Savings will increase and investment will fall

C- increase in tax will reduce the AD and fall in interest rate will increase the AD

D- both will reduce the AD

24-A:

Relative poverty is the condition in which people lack the minimum amount of income needed in order to maintain the average standard of living in the society in which they live.

Why not other options?

Other factors explain the absolute poverty

25-B:

Net migration is the difference between the number of persons who enter a territory (immigrants) and the number who leave (emigrants), generally calculated over a year. More 20-40 leaving that indicate that more aged people will be left in an economy

Why not other options?

- A- no flexible workforce as more old difficult to train
- C- no, as more people who earn leaving a country
- D- house prices will fall as more space will be available

26-D:

Average annual growth rate of population and population density should be high that is option A. While the life expectancy years and real GDP per head should be low that is also in option A

27-B:

Specialization in business involves focusing on one product or a limited scope of products so as to become more efficient. Specialization can increase productivity and provide a comparative advantage for a firm or economy. Occupational immobility refers to the inability of labour to move from one type of job to another. Occupational immobility is caused by insufficient education, skills and training. This leads to structural unemployment.

Why not other options?

- A- unrelated
- C- only needs to learn one specific skill
- D- No

28-D:

A country's trade balance is the difference between the value of its exports and the value of its imports. A trade surplus occurs when a country exports more than it imports, while a trade deficit occurs when a country imports more than it exports. In year 1, there is surplus in BOT. In year 2, there is deficit in BOT

29-B:

tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries. As there is tool of protectionism, so there is less trade between two countries

Why not other options?

A- higher taxes means low import will be entering into the US. This will increase the consumption of domestic goods and services and thus increase the AD and rise in inflation rate

C- profits would be fall as fewer imports from the US

D- choice will be reduced and thus standard of living will fall

30-D:

When a currency falls in values compared to other currencies known as depreciation. This will make exported goods more competitive as their prices would fall and imported goods relatively expensive as their price would increase to the home country.

Why not other options?

A- a fall in money supply will result in a higher rate of interest rate. This will cause exchange rate to appreciate

B- import prices will increase so purchasing power will fall

C- expensive imports